by states offering free or highly subsidised electricity. "States," says Singh, "are free to give subsidies to any segment. But the discoms will have to be paid upfront.... If money doesn't come, discoms will not be able to pass on the benefits."

Earlier attempts at solving many such problems, such as the National Tariff Policy 2016—which required state regulators to ensure that discoms limited cross-subsidies to plus/minus 20 per cent of the average purchase price of electricity—have fallen flat. Now, the ministry is pushing regulators to reduce the categories of tariffs, cut back on cross-subsidies and ensure that the tariff is cost-reflective, that is consistent with the true cost of supplying electricity. But regulating the regulators is a whole new ball game.

Former power secretary R.V. Shahi points out that since state governments appoint the regulators, they "look at their respective chief ministers" to set the tariff. The power ministry has not given up on its efforts to rectify this, even as its attempt to introduce radical changes in the appointment of state regulators hit political rough weather. In April 2021, it became mandatory for discoms to conduct an energy audit every year from once in three years earlier. "Regulators have to regulate as per laws and rules," says Singh. "The tariff must reflect the true cost of procurement and supplies." Data provided by various state regulators suggests that tariffs were revised in FY24 to meet this condition. Bit by bit, the tide may turn. Here's an encouraging statistic—in FY23, discoms booked a tariff subsidy of Rs 1.34 lakh crore and received Rs 1.44 lakh crore from state governments. If the trend continues, it could mean the end of the discoms' cash flow woes. ■

